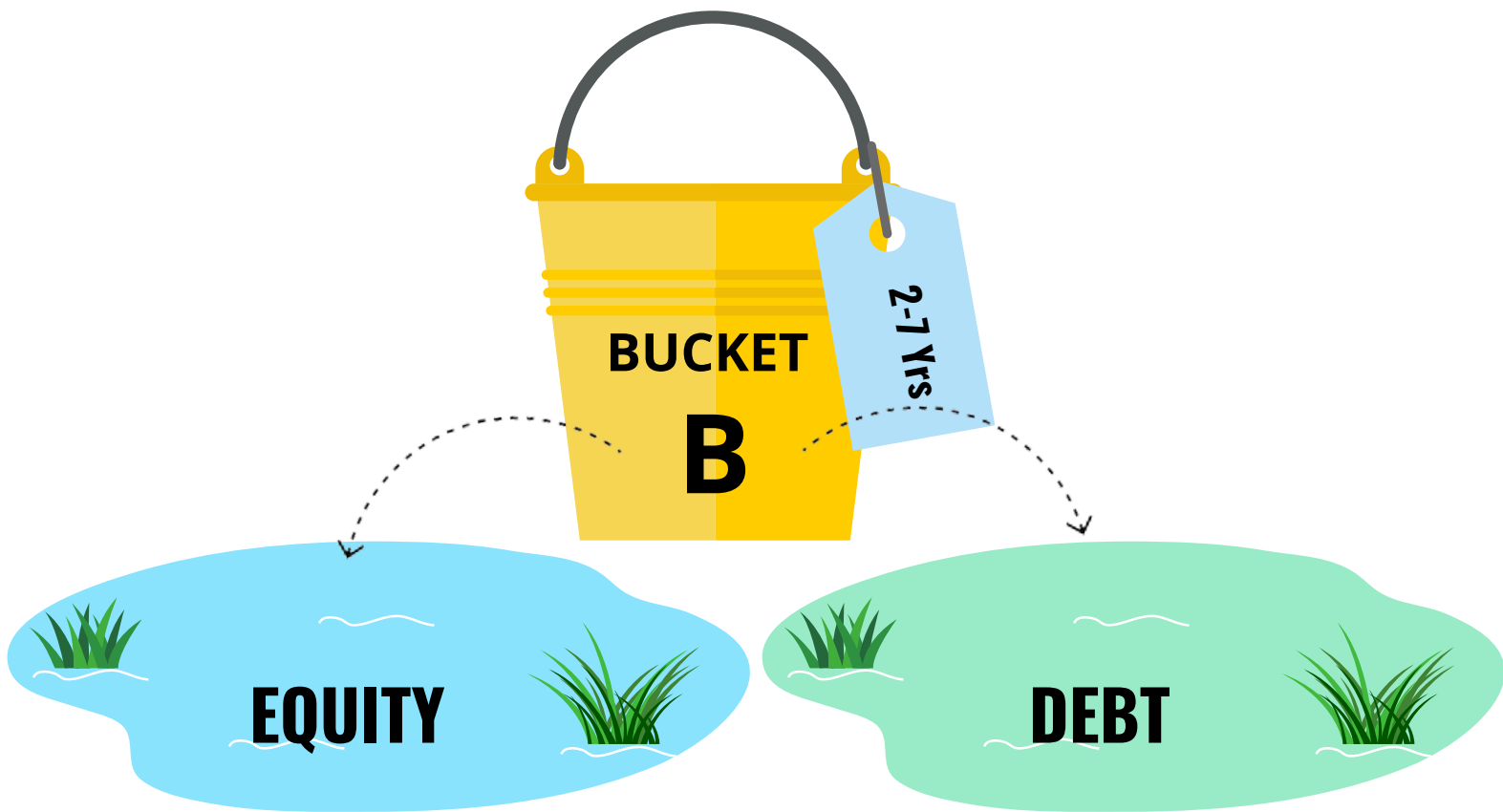


GOALS TO MET IN 2 TO 7 YEARS



Goals that are to be met in the medium term will have a reducing equity component and increasing debt component. The goals to be met in the span of 2 to 7 years will be sub-grouped as 5-7 years, 3-5 years and 2-3 years depending on the time left starting today.

We started with 100% equity for 7+ years, but as time passes, the effect of compounding reduces and our ability to handle volatility also goes down too. As a result, we will systematically decrease the equity component in the mix.

For goals to be met in 5-7 years from today, we will have 30% of the amount in debt and 70% in equity. This will give us a balance of stability and higher returns. For goals to be met in 3-5 years, we will have 50-50 share of equity and debt. One can always reduce the share of equity in the mix if the risk-taking willingness is low. For goals to be met in 2-3 years, we will have 70% in debt and 30% in equity. As time horizon reduces, we want more of stability and low returns will be fine as compounding is no longer powerful the way it was with long term goals.